

LightWay Christian Resources

Christian Publishing, Retail, and Church Resources

Business Counselling Report

Executive Summary

June 2026 | Practice Analysis | Confidential

Disclaimer: This is a practice counselling analysis based on composite industry data. Code names are used throughout. Not professional advice.

The Organisation

LightWay Christian Resources is one of the largest Christian publishers and former retailers in the United States. Founded to serve the church through discipleship resources, Bible publishing, and church curriculum. Operated 170 physical stores at peak. Now a digital-only operation.

\$285M

FY 2025 Revenue

1,200

Employees

45,000

Digital Subscribers

0

Physical Stores

Mission

To serve the church by providing resources for discipleship, teaching, and spiritual growth. This mission is not a marketing slogan. It is the reason the organisation exists. Every recommendation in this report is tested against this purpose.

Analytical Framework

This analysis applies a stewardship lens. The question is not "how do we maximise profit?" but "how do we faithfully manage the resources entrusted to us to serve the church?" Profitability is the means, not the end.

Three Problems

Problem 1: Revenue Erosion (Primary)

Revenue down 40% from \$480M to \$285M. 170 stores closed. Digital growth plateaued at \$85M. EBITDA fallen 70% from \$57.6M to \$17.1M. The financial trajectory is unsustainable.

Problem 2: Market Relevance Crisis

Only 18% of church leaders under 35 consider LightWay primary (vs 62% of over 55s). The fastest-growing Christian demographics are not in LightWay's ecosystem. The brand is respected but increasingly invisible to the next generation.

Problem 3: Identity Crisis

The store closures broke the alignment between mission and business model. Staff describe a culture that has lost purpose. The competitive advantage was trust, expertise, and relationship. Until the identity question is resolved, no operational strategy will succeed.

Financial Snapshot

All figures in US Dollars (USD)



Revenue by Segment

Segment	FY 2022	FY 2025	Change
Publishing	\$216M	\$160M	-25.9%
Retail	\$168M	\$0	-100%
Digital	\$48M	\$85M	+77.1%
Events	\$48M	\$40M	-16.7%

Key Financial Insights

- Marketing spend at 3.0% of revenue is below industry benchmark of 4-7%
- Digital revenue peaked at \$93M (FY24) and declined to \$85M (FY25)
- EBITDA margin of 6.0% is at the bottom of the 8-14% benchmark range
- Cash reserves of approximately \$22M with \$28M long-term debt
- Staff costs at 25.3% of revenue are in line with benchmarks
- 3,300 employees have been made redundant since FY 2022
- Free cash flow of \$4.8M leaves minimal room for investment error

Competitive Position

Porter's Five Forces Summary

Competitive Rivalry	Very High	Amazon dominates price. Digital-first competitors dominate innovation.
Buyer Power	High	Churches have dozens of options. Switching costs are low.
Threat of Substitutes	Very High	Free alternatives (YouVersion, YouTube, podcasts) are credible.
Supplier Power	Low-Med	Authors have alternatives but relationships provide protection.
New Entrant Threat	High	Any church leader with a laptop can create resources.

SWOT Highlights

Strengths

- Legacy brand trust
- Owned content library
- Author relationships
- Mission clarity

Weaknesses

- 40% revenue decline
- Digital platform immature
- Demographic skew
- Marketing underinvestment

Opportunities

- \$4.2B church resource market
- Subscription model (no dominant player)
- Next-gen creator partnerships
- AI-driven curation demand

Threats

- Amazon pricing pressure
- Free content proliferation
- Declining US church attendance
- AI content flooding

Recommendation 1: Digital Platform Transformation

\$10M-\$16M

Investment

\$28M-\$52M

Yr 3 Revenue (Base)

18-28 mo

Payback

80K-120K

Yr 3 Subscribers

Deep Dive: Church Resource Platform

- Subscription model: Basic (\$49/mo), Premium (\$99/mo), Enterprise (\$249/mo)
- Transforms transactional sales into recurring relationships
- Competes on curation and expertise, not price
- LightWay can tell a pastor which curriculum fits their church. Amazon cannot.
- Base case: 80,000 subscribers by Year 3, \$52M annual revenue
- Key risk: cannibalisation of existing individual sales (15-25% Year 1)
- Key risk: 2.5% monthly churn requires constant value delivery

Deep Dive: Content Creator Partnerships

- Commission next-gen Christian voices to create resources under LightWay brand
- Creator brings audience. LightWay brings editorial rigour and credibility.
- 15-20 mid-tier creators (50K-500K followers) expose 2M-5M new potential users
- Revenue share model (30-45% to creators) aligns incentives
- Base case: 20 partnerships by Year 3, \$12M annual revenue
- Key risk: brand reputation tied to individual creator behaviour
- Key risk: editorial tension between creative freedom and quality standards

Recommendation 2: Community and Mission Rebuilding

\$6M-\$10M

Investment

\$18M-\$32M

Yr 3 Revenue (Base)

20-30 mo

Payback

2,000+

Church Partners

Deep Dive: Church Partnership Programme

- Dedicated resource advisors with ministry experience assigned to each church
- Rebuilds the relational advantage lost when 170 stores closed
- Not salespeople. Ministry partners who happen to work for LightWay.
- Churn reduction of 30-50% for advised churches vs self-service
- Base case: 2,000 partnerships by Year 3, \$20M annual revenue impact
- Key risk: people-intensive model (\$2.4M annual team cost at 30 advisors)
- Key risk: quality depends entirely on individual advisor calibre

Deep Dive: Digital Discipleship Content

- Free devotionals, Bible plans, and teaching videos as a mission offering
- Stewardship argument: if LightWay can help people grow in faith, restricting access behind a paywall raises questions about faithfulness
- YouVersion (600M+ installs), YouTube, and podcasts as distribution channels
- Free-to-paid conversion of 3-8% over 12 months feeds the subscription platform
- Base case: 500,000 monthly users by Year 3, \$12M conversion revenue
- Key risk: production cost of \$2M/yr for content that is genuinely good
- Key risk: 6-18 month attribution lag before ROI is visible

Action Plan

Year 1: Foundation and Launch

- Commission subscription platform MVP
- Hire Head of Church Partnerships
- Launch 5-8 creator partnerships
- Free content on YouVersion and YouTube
- Beta with 500-1,000 pilot churches
- Full platform launch Q1 2027
- Target: \$23.4M new revenue

Year 3: Scale and Stabilise

- 80,000-120,000 digital subscribers
- 2,000+ church partnerships active
- 20+ creator partnerships
- 500,000+ free content users/month
- Total revenue \$330M-\$350M
- EBITDA \$30M-\$40M (9-11%)
- Publishing share below 50%

Year 5: Transformed Organisation

- Digital subscriptions as primary revenue
- 150,000-200,000 subscribers
- 3,000-5,000 church partnerships
- 1M+ free content users/month
- Revenue \$380M-\$450M
- EBITDA \$45M-\$60M (12-14%)
- Mission and business fully aligned

Total Investment: \$18M-\$28M over 24 months | Payback: 18-30 months | Year 3 EBITDA Improvement: +\$12M-\$22M

KPIs and Governance

Financial

KPI	Current	Yr 1	Yr 3
Total Revenue	\$285M	\$300M	\$340M
Subscription Revenue	\$0	\$14.5M	\$52M
EBITDA	\$17.1M	\$20M	\$35M
EBITDA Margin	6.0%	6.5%	10%

Digital and Operational

KPI	Current	Yr 1	Yr 3
Digital Subscribers	45,000	67,000	125,000
Monthly Churn	2.5%	≤2.5%	≤2.0%
Free Users/Month	0	150K	500K
Platform NPS	N/A	45+	55+

Mission and Relationship

KPI	Current	Yr 1	Yr 3
Church Partnerships	0	600	2,000
Creator Partnerships	0	12	20
Staff Engagement	Low	+15 pts	Top Quartile
Under-resourced Access	0%	10%	15%

Governance Cadence

- Weekly: Digital product team dashboard review (subscriber metrics, churn, pipeline)
- Monthly: Executive team financial review, channel P&L, partnership NPS
- Quarterly: Board committee strategy review including mission alignment check
- Annually: Full board review with external advisor, mission impact assessment

Note: The quarterly "mission alignment check" is not decorative. A formal quarterly assessment of whether commercial activities serve the mission keeps the stewardship lens active in decision-making.

Conclusion

LightWay has a noble mission, a valuable heritage, and a financial trajectory that will end that mission if it is not redirected. The product is sound. The editorial expertise is real. The theological depth is genuine. But the model through which these strengths reached the church is gone, and what replaced it is not sufficient.

Build a digital platform that competes on value, not price.

Church resource subscription creates recurring revenue, rebuilds relationships, and leverages curation expertise. Creator partnerships inject relevance and reach new audiences.

Rebuild direct relationships and serve the mission generously.

Church partnership programme restores the human connection. Free discipleship content serves people who may never pay but deserve to be served.

LightWay does not need to become Amazon. It needs to become, again, what it was at its best: a faithful steward of the gifts it has been given, serving the church with excellence, generosity, and integrity. The stores may be gone. The mission is not.